PARDEE RESOURCES COMPANY

2ND QUARTER 2024

Responsible Development of Natural Resource Properties
Integrity   Creativity   Excellence   Respect   Teamwork   Family

To Our Shareholders:

During Q2 2024, Pardee Resources Company earned $5.00 per share, a 4.2% decline versus the $5.22 per share earned during Q2 2023. EBITDA during the quarter was $7.76 per share, 3.5% below EBITDA of $8.04 per share earned in Q2 2023. Despite continued market weakness and an overall decline in economic growth, Pardee's second quarter results were only modestly below 2023 levels. A significant year-over-year increase in timber production from our properties and strong gains from real estate sales helped to offset a decline in metallurgical coal prices and a fall in both natural gas and solar electricity production from our properties.

Metallurgical Coal Division: Since reaching highs of $200 per ton in early 2023, average contract prices for premium U.S. High-Volatile A coal have settled in the $150 per ton range. As North American and European steel producers have reduced their consumption of metallurgical coal to lower carbon emissions, Southeast Asia's demand for metallurgical coal has increased substantially. This market transition has resulted in new export opportunities for U.S. metallurgical coal producers as approximately 70% of the total U.S. metallurgical coal production is now being exported. During Q2 2024, our Metallurgical Coal Division revenues were $5.34 million, 14.1% below Q2 2023 levels, as revenues were adversely impacted by the decline in contract prices. In late June 2024, a surface mine producing both thermal and metallurgical coal from our property was idled due to low thermal coal prices. The mine, which yielded approximately $900,000 in royalties during H1 2024, will likely remain idled until prices improve. Meanwhile, we have several new mining initiatives underway which are aimed at increasing metallurgical coal production from our properties.

Oil & Gas Division: Due to weak demand during the mild 2023-2024 winter season, and strong U.S. production, natural gas inventories were well-above the five-year average during the second quarter; and prices remained low, averaging just $1.39 per mcf in the Appalachian Basin. Division revenues during Q2 2024 totaled $1.26 million, or 14.9% below revenues of $1.48 million in Q2 2023, as production from our properties declined 12.7% versus a year ago. The production decline was attributable to production variances from our interests in a developing shale field located in the Denver-Julesburg Basin in Colorado. More recently, the production and revenue from the field has increased with the completion of new wells, pointing to an increase in overall production for the Division during Q3 2024.

Timber & Surface Division: The hardwood timber markets continued to struggle with low prices as demand in both the domestic and export markets remained weak. Consumers, faced with declining real wages and low savings rates, reduced discretionary spending on premium hardwood products such as kitchen cabinets, sales of which were down 7% through April, year-over-year. Nonetheless, our Division had a strong quarter with total revenues of $2 million, versus $820,000 a year ago. Quarterly hardwood harvest volumes were 3.8 million board feet, 120% higher than year-ago levels. However, the increase in volume was due to timing issues; consequently, we expect harvest volumes for the balance of the year to be lower as we adhere to our annual sustainable targets. Our real estate sales team achieved one of our strongest quarterly results to date, with gains reaching $579,800, or 325% higher than Q2 2023.

Alternative Energy Division: The record-levels of solar installations achieved in 2023 has continued into 2024, even as developers grapple with labor shortages and trade policy uncertainty. Rising import tariffs on Chinese solar panels, together with generous tax incentives, have led to a sharp increase in U.S. solar panel manufacturing capacity. Division revenues from electricity production and renewable energy credit sales were both lower than in Q2 2023, reflecting the 2023 sale of most of our New Jersey solar portfolio. While Q2 2024 revenues of $661,000 were higher than a year ago, Q2 2023 revenues included a $400,000 loss on disposal, without which revenues would have been $1 million. Pardee continues to evaluate new solar investment opportunities.

Agriculture Division: Favorable weather in Central Valley California benefited the early growing season for table grapes, yet extreme heat, beginning in late June, may negatively impact the season's table grape harvest. While our farm operator reports limited heat impact to date, they caution that a reduction in berry size and weight is possible as the harvest season progresses. Thus far, the weather in Portugal has been favorable for our maturing almond tree farm, where yields are expected to be 80% higher than during 2023.

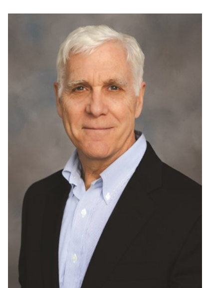
Summary: The Company ended the quarter with limited debt and a cash balance of $34.9 million, which generated approximately $370,000 in interest and other income during the quarter. Thanks to our strong cash flow, diversified asset portfolio, and healthy balance sheet, the Company is well-positioned to achieve our dual goals of returning capital to our shareholders and investing for future growth.

*Please see page 6 for an update of legal matters.

Sincerely yours,

Chairman
Benjamin A. Burditt

Corporate Office
Pardee Resources Company
1500 Chestnut Street, Suite 2
#1950
Philadelphia, PA 19102
(215) 405-1260
pardee@pardee.com
www.pardee.com



President & CEO
Carleton P. Erdman

Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

	06/30/2024	12/31/2023
ASSETS		
Current Assets:		
Cash & Cash Equivalents	$34,906	$31,760
Accounts Receivable	4,115	7,309
Other	3,840	893
	42,861	39,962
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right-of-Ways	27,459	27,632
Mineral Rights - Coal	32,671	32,774
Timber	8,763	8,948
Solar Equipment	10,711	11,094
Building & Structures	1,025	1,066
Agriculture Development	8,624	9,000
Equipment	524	506
Automobiles	228	236
Other Fixed Assets	1,800	1,390
	91,805	92,646
Investments & Other:		
Oil & Gas Investments (Net of Depl. & Deprec.)	32,190	32,556
Right of Use Asset	3,760	3,187
Other	126	142
Total Assets	$170,742	$168,493
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	$2,074	$2,943
Deferred Revenues	276	508
Taxes Payable	731	1,516
Current Portion of Note Payable (non-recourse)	200	200
Current Portion Lease Liability	386	290
	3,667	5,457
Noncurrent Liabilities:		
Non-recourse Debt	755	826
Supplemental Pension Plan	708	608
Deferred Taxes	14,783	14,783
Deferred Revenue, Net of Current Portion	527	410
Asset Retirement Obligation	20	20
Lease Liability	3,883	3,333
Total Liabilities	24,343	25,437
Shareholders' Equity:		
Common Stock	775	775
Additional Paid in Capital	12,468	12,854
Accumulated Other Comprehensive Income	(200)	(41)
Retained Earnings	156,361	152,324
Treasury Stock	(26,439)	(26,127)
	142,965	139,785
Noncontrolling Interest	3,434	3,271
Total Equity	146,399	143,056
Total Liabilities & Equity	$170,742	$168,493

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended 06/30/24	Three Months Ended 06/30/23	Six Months Ended 06/30/24	Six Months Ended 06/30/23
Divisional Revenues:				
Metallurgical Coal	$5,344	$6,222	$10,837	$10,971
Oil & Gas	1,257	1,483	2,556	3,532
Timber & Surface	2,000	822	3,723	2,613
Alternative Energy	661	608	1,097	1,394
Agriculture	15	4	15	5
	9,277	9,139	18,228	18,515
Divisional Expenses:				
Metallurgical Coal	1,178	767	2,158	1,432
Oil & Gas	1,258	1,051	2,350	2,050
Timber & Surface	848	788	1,688	1,579
Alternative Energy	355	763	800	1,374
Agriculture	220	305	429	511
	3,859	3,674	7,425	6,946
Net Operating Income	**$5,418**	**$5,465**	**$10,803**	**$11,569**
Interest and Other Income	370	171	731	285
Gain (Loss) on Equity Investment	0	65	0	686
General and Administrative	(1,657)	(1,530)	(3,256)	(3,406)
Interest Expense	(15)	(21)	(31)	(27)
Income Before Taxes	**$4,116**	**$4,150**	**$8,247**	**$9,107**
Taxes	923	833	1,979	2,186
NET INCOME	**$3,193**	**$3,317**	**$6,268**	**$6,921**
Net Loss - Noncontrolling Interest	60	101	116	151
Net Income - Pardee Resources Shareholders	**$3,253**	**$3,418**	**$6,384**	**$7,072**
EARNINGS PER SHARE	**$5.00**	**$5.22**	**$9.81**	**$10.80**
EBITDA PER SHARE (earnings before interest, taxes, depreciation and amortization)	$7.76	$8.04	$15.49	$17.24
Weighted Average Number of Common Shares Outstanding	650,837	654,948	650,837	654,948
Common Dividend Per Share	$1.80	$1.80	$3.60	$3.60
Total Shareholder Return (dividend paid plus change in stock price)			14.35%	-6.31%

Pardee Resources Company
Comparison Data Sheet

	Three Months Ended 06/30/24	Three Months Ended 06/30/23	% Change	Six Months Ended 06/30/24	Six Months Ended 06/30/23	% Change
Metallurgical Coal						
Revenues - Millions	$5.34	$6.22	-14.1%	$10.84	$10.97	-1.2%
Coal Tons Sold - Millions	0.71	0.68	4.4%	1.39	1.24	12.1%
Royalty/Coal Ton	$6.73	$8.65	-22.2%	$6.95	$8.28	-16.1%
Oil & Gas						
Revenues - Millions	$1.26	$1.48	-14.9%	$2.56	$3.53	-27.5%
Production - bcfe	0.48	0.55	-12.7%	1.00	1.10	-9.1%
Royalty/mcfe	$2.59	$2.53	2.4%	$2.46	$3.11	-20.9%
Timber & Surface						
Revenues - Millions	$2.00	$0.82	143.9%	$3.72	$2.61	42.5%
Production - Board feet - Millions	3.81	1.73	120.2%	7.28	6.35	14.6%
Stumpage Price/Thousand Bd. Ft.	$250.07	$262.74	-4.8%	$255.63	$235.45	8.6%
Production - Softwood Tons - Thousands	8.42	1.10	665.5%	27.86	13.80	101.9%
Stumpage Price/Ton Softwood	$14.44	$9.00	60.4%	$14.65	$12.06	21.5%
Production - Hardwood Tons - Thousands	15.22	5.03	202.6%	26.11	14.52	79.8%
Stumpage Price/Ton Hardwood	$2.24	$1.89	18.5%	$2.39	$2.41	-0.8%
Rural Real Estate Gains - Thousands	$579.8	$136.4	325.1%	$880.5	$502.1	75.4%
Alternative Energy						
Revenues - Millions	$0.661	$0.608	8.7%	$1.097	$1.394	-21.3%
Production - k/w - Millions	3.95	5.24	-24.6%	6.30	8.18	-23.0%
Electric Sales Price per k/w	$0.117	$0.111	5.4%	$0.119	$0.113	5.3%
Production - SREC Units	4,016	5,364	-25.1%	6,477	8,392	-22.8%
SREC Price/Credit	$43	$75	-42.7%	$46	$73	-37.0%
NET DIVISIONAL OPERATING INCOME:						
(Dollars in Millions)						
Metallurgical Coal	$4.17	$5.46	-23.6%	$8.68	$9.54	-9.0%
Oil & Gas	0.00	0.43	-100.0%	0.21	1.48	-85.8%
Timber & Surface	1.15	0.03	3733.3%	2.04	1.03	98.1%
Alternative Energy	0.31	(0.16)	-293.8%	0.30	0.02	1400.0%
Agriculture	(0.21)	(0.30)	30.0%	(0.41)	(0.51)	19.6%
Net Operating Income	$5.42	$5.46	-0.7%	$10.82	$11.56	-6.4%
EBITDA - Millions (earnings before interest, taxes, depreciation and amortization)	$5.05	$5.27	-4.2%	$10.08	$11.29	-10.7%

DC Solar Solutions, Inc.

In December 2015, the Company invested $7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government had seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of $485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2022, the Company received a draft "Notice of Proposed Adjustment" (NOPA) from the IRS related to their exam of the Company's 2018 tax return. The NOPA included a $1.4 million tax assessment associated with the investment tax credits the Company utilized in tax years 2018 and 2019, plus interest. According to the NOPA, the IRS is challenging the values the Company had initially assigned to the MSGs and whether they had all been effectively placed in service, and consequently whether the amount of the associated investment tax credits were appropriate. The Company is considering an appeal of these conclusions when the IRS finalizes the NOPA, but while the process is pending, established a reserve for the full $1.4 million as of December 31, 2022. Due to various uncertainties, the Company is currently unable to determine the final financial impact arising from this complex situation; however, this impact could be as much as $1.5 million, which includes the full amount of the IRS tax assessment plus interest.

In 2023, the Company received a total of $1,014,566 in legal recoveries against various participants in the DC Solar Ponzi-like scheme. These distributions were recorded into income upon receipt. Additional recoveries, while likely, are not guaranteed and have not been estimated or accrued as of December 31, 2023 and will be recorded into income if and when received.

In addition to the above referenced matters, we are subject to claims and legal actions in the ordinary course of business. We expense legal costs as they are incurred. While there are uncertainties in predicting the outcome of any claim or legal action, we believe the ultimate resolution of these claims or actions is not reasonably likely to have a material adverse effect on our financial condition, results of operations, or cash flows.

Forward-Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

Pardee Resources Company
1500 Chestnut Street, Suite 2 #1950
Philadelphia, PA 19102